

Digital Transformation & Growth Strategy

+21 pts Digital Adoption Growth in 18 Months



AI-Powered Underwriting

Cut loan decisioning from days to hours with ML-driven risk models



Branch Network Optimization

Shift to digital-enabled hub branches, redirecting cost into service



Embedded Fintech Partnerships

Open banking APIs to reach underbanked and gig-economy customers

Growth Is Stalling While Fintechs Close In

3.2M

Total Customers

Retail & SMB, Q1 2025

61%

Digital Adoption

Down from 15% YoY growth in 2021

64%

Cost-to-Income Ratio

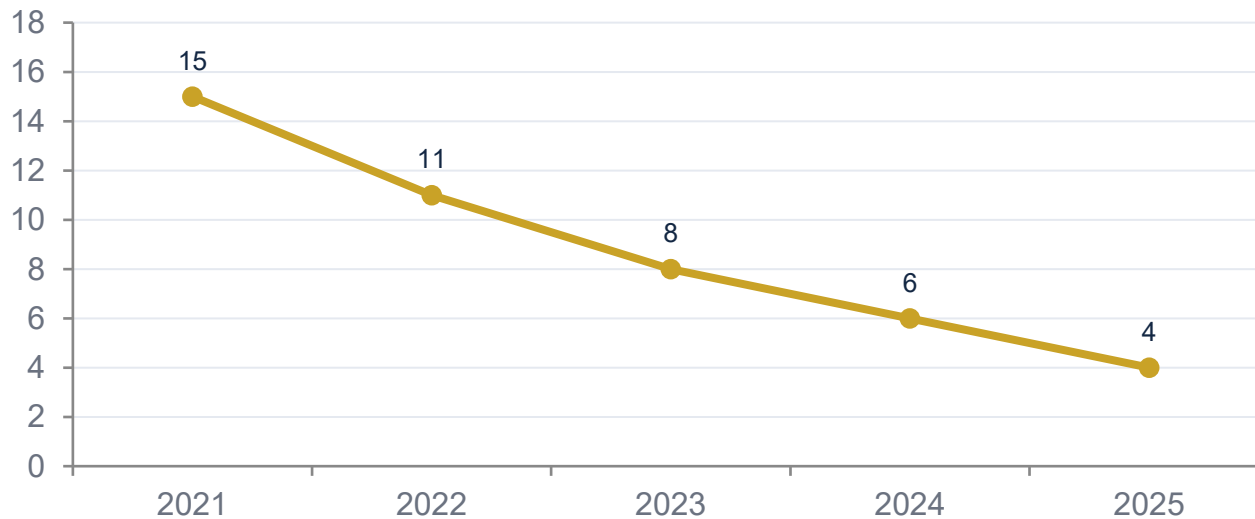
9 pts above peer benchmark

32

Net Promoter Score

Trailing neobank rivals by 20+ pts

Digital Adoption YoY Growth Rate, 2021–2025



Why It Matters

- Digital adoption growth has fallen from 15% to 4% in four years as core segments plateau.
- Cost-to-income ratio remains elevated as branch overhead outpaces digital cost savings.
- Neobanks and fintech lenders are capturing younger, price-sensitive customers Meridian is built to serve.

Six Drivers of Digital Stagnation



1. Legacy Core Systems

Decades-old core banking infrastructure slows product launches and API integration.



2. Branch-Heavy Cost Base

420 branches carry fixed overhead that digital-only rivals simply don't have.



3. Fragmented Data

Customer data lives in disconnected systems, limiting personalization and cross-sell.



4. Slow Loan Decisioning

Manual underwriting takes 5–7 days versus under 24 hours at fintech lenders.



5. Fintech Competition

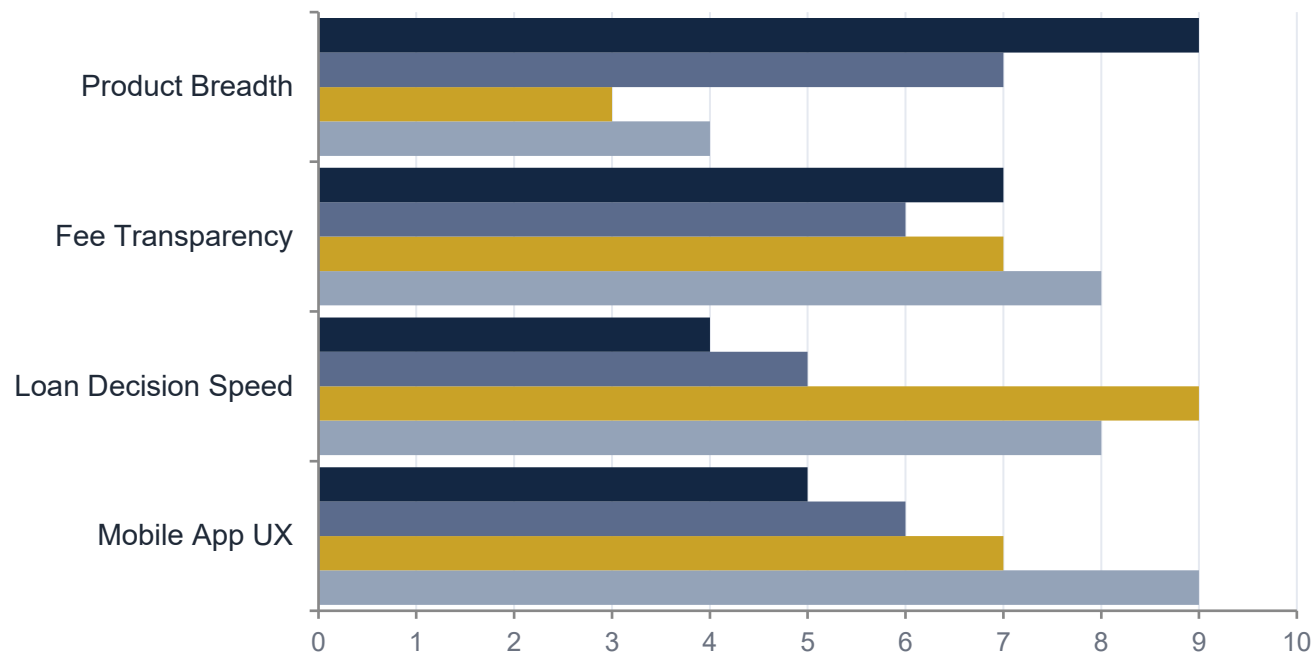
Neobanks and embedded lenders are capturing under-35 and gig-economy segments.



6. Compliance Drag

Regulatory review cycles slow time-to-market for new digital products.

Trusted & Broad — But Slower and Less Digital



Breadth & Trust Leader

Meridian's product range and fee transparency score highest of all four institutions — the foundation to build a digital layer on.



Loan Speed Gap — \$140M Vulnerability

Underwriting takes 5–7 days versus under 24 hours at fintech lenders, pushing price-sensitive borrowers elsewhere.



Digital UX Behind

Mobile app experience trails neobanks by 4+ points, risking attrition among younger customers.

Four Segments Define the Growth Opportunity



Digital-First Professional

Goal: Instant, mobile-first banking

Pain: Slow app, generic offers

Lever: AI-personalized product bundles



Small Business Owner

Goal: Fast access to capital

Pain: 5–7 day loan decisions

Lever: AI underwriting engine



Legacy Relationship Client

Goal: Trusted, in-person advice

Pain: Branch consolidation anxiety

Lever: Hybrid advisory hubs



Underbanked Gig Worker

Goal: Low-fee flexible account

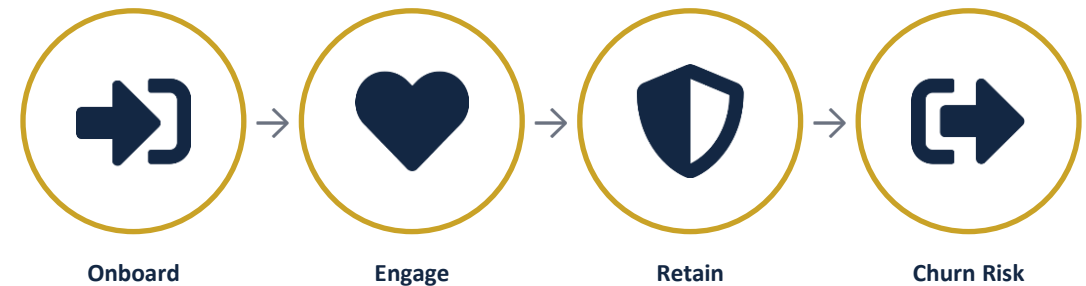
Pain: Thin credit file

Lever: Embedded fintech partnerships

Segment Sizing & Growth Levers

Segment	Customers	Growth Potential	Key Lever
Digital-First Professional	800K	+6%	AI product bundles
Small Business Owner	350K	+5%	AI underwriting
Legacy Relationship Client	900K	+2%	Hybrid advisory hubs
Underbanked Gig Worker	600K	+8%	Embedded partnerships

Customer Journey



Segment insights drive targeted onboarding flows and retention offers at each stage, reducing drop-off between signup and long-term loyalty.

Three High-Impact Initiatives



AI-Powered Underwriting

ML-driven risk models cut loan decisioning from days to hours.

Impact: **+6% new accounts**

Effort: **High**

Timeline: **9 months**

Investment: **\$70M**



Branch Network Optimization

Shift 420 branches to a hub-and-spoke model with digital-enabled hubs.

Impact: **\$95M annual savings**

Effort: **Medium**

Timeline: **15 months**

Investment: **\$60M**



Embedded Fintech Partnerships

Open banking APIs connect Meridian products to partner platforms.

Impact: **+8% new-to-bank**

Effort: **Medium**

Timeline: **12 months**

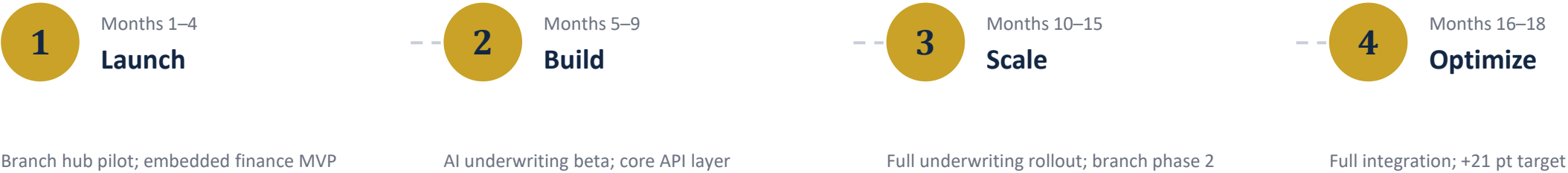
Investment: **\$50M**

Summary of Impact, ROI & Timeline

Initiative	Impact	Revenue/Savings	Investment	ROI	Timeline
AI Underwriting	+6% new accounts	+\$140M	\$70M	2.0x	9 months
Branch Optimization	-4 pts cost-to-income	+\$95M	\$60M	1.6x	15 months
Embedded Finance	+8% new-to-bank	+\$75M	\$50M	1.5x	12 months
Total	+21 pts digital adoption	+\$310M	\$180M	1.7x	18 months

Sequence for Maximum Impact

18-Month Implementation Roadmap

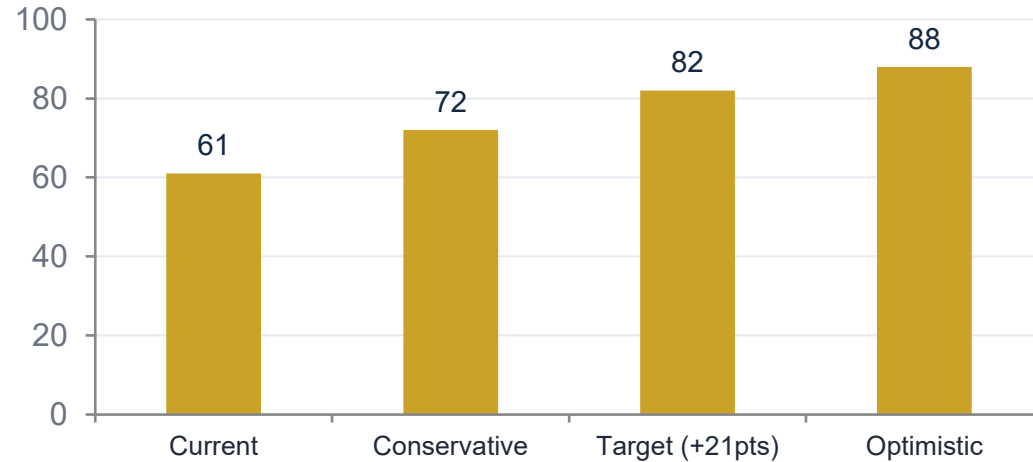


Key Milestones & Dependencies

Timing	Milestone	Dependency	Outcome
Q1 2025	Branch hub pilot launch	Real estate & staffing plan	30 hubs live
Q2 2025	AI underwriting beta	ML training & compliance review	SMB segment market test
Q4 2025	Embedded finance live	API infrastructure & onboarding	5 fintech partners integrated
Q2 2026	Full optimization	All initiatives live	+21 pt digital adoption achieved

FINANCIAL IMPACT

A \$310M Annual Value Opportunity



+21 pts

Digital Adoption

82% by 2026

+\$310M

Annual Value

Revenue + savings

1.7x

Year-1 ROI

On investment

\$180M

Investment

Over 18 months

Revenue & Savings Attribution

Initiative	Value	Share
AI Underwriting	+\$140M	45%
Branch Optimization	+\$95M	31%
Embedded Finance	+\$75M	24%

Investment Allocation

Category	Investment	Share
Technology	\$85M	47%
Branch Network	\$60M	33%
Partnerships & Marketing	\$35M	20%

Anticipate Risks. Build Defenses.

Risk	Likelihood	Impact	Mitigation Strategy	Owner
Regulatory / AI Fair-Lending Risk	High	High	Third-party model validation; phased regulator engagement	Compliance
Legacy System Integration	Medium	High	Modular API layer; phased core migration with vendor support	Technology
Branch Closure Pushback	Medium	Medium	Redeployment & reskilling program; transparent communication	HR
Customer Attrition in Transition	Medium	Medium	White-glove migration support; grandfathered account terms	Customer Experience
Fintech Partner Concentration	Low	Medium	Diversified partner portfolio; contractual SLAs	Partnerships

The Path Forward: Three Priorities, One Goal



AI Underwriting

Beta live Q2 2025



Branch Optimization

30 hubs live Q1 2025



Embedded Finance

5 partners by Q4 2025

Comprehensive Summary

Investment Required	\$180M over 18 months
Expected Digital Adoption Growth	+21 pts (61% → 82%)
Annual Value Creation	+\$310M (revenue + cost savings)
Timeline	18-month phased implementation
Success Metrics	All KPIs tracked quarterly with go/no-go gates

+21 pts Digital Adoption

+\$310M Annual Value

1.7x ROI

18 mo Timeline